WAVERLEY GATEWAY GUIDE

Connecting International Capital

DOMINICAN REPUBLIC

Caribbean

Information current as of November 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Santo Domingo	Capital and largest metropolitan economy; seat of government, the financial sector and the main container ports of Haina and Caucedo	Financial services, logistics, real estate, business services
Santiago and the Cibao valley (north)	Second city and industrial heartland, home to a dense cluster of free zone manufacturers and agro-exporters	Free zone manufacturing, tobacco products, agro-processing
Punta Cana / La Altagracia (east)	The Caribbean's leading resort cluster and the engine of a tourism sector that drew 11.6 million visitors in 2025	Tourism, hospitality real estate, aviation services
Free zone parks (92 nationwide)	Around 850 companies employing more than 200,000 people, with exports led by medical devices, tobacco and electrical products	Medical devices, electronics, apparel, nearshoring services
Manzanillo / Montecristi (north-west)	Emerging energy and port hub: a 414 MW gas-fired combined-cycle plant and LNG regasification unit began commercial operation in March 2026	Power generation, LNG, port logistics
Cabo Rojo / Pedernales (south-west)	Government-led new tourism destination with a cruise port, first international hotel brands and a new airport under development	Tourism, hotel development, infrastructure
Sánchez Ramírez (Cotuí)	Location of the Pueblo Viejo gold mine; gold exports rose 60.9% to $2.4 billion in 2025	Mining, mining services

INVESTOR ENTRY ROUTES

- ProDominicana (Export and Investment Centre) acts as the one-stop shop for investment information, single-window FDI registration and investor aftercare
- Foreign Investment Law 16-95 and Article 221 of the Constitution grant national treatment, with foreign investment permitted in almost all sectors and no general screening mechanism
- Free Zone regime under Law 8-90, licensed by the National Free Zones Council (CNZFE), offering full exemption from taxes and duties on production and export activities; border-zone incentives extended to 30 years under Law 12-21

- Tourism incentives under Law 158-01 (as amended), granting 15-year tax exemptions for qualifying new projects approved by CONFOTOUR
- Renewable energy incentives under Law 57-07, including duty-free equipment imports and income-tax exemptions on qualifying power sales
- Public-private partnership framework offering concessions of up to 40 years for infrastructure and energy projects
- The Dominican peso is freely convertible under a managed float; profits and capital can be repatriated once the investment is registered, with remittances reported to the Central Bank within 60 days

MARKET-ENTRY OBSERVATION

The Dominican Republic in November 2026 is one of Latin America's most consistent growth stories, with real GDP averaging nearly 5% a year over the past 15 years. After a slower 2.1% in 2025, activity rebounded strongly, growing 4.6% in January–September 2026 led by construction (+7.9% in August), and the Central Bank expects around 4.5% for the full year. Foreign direct investment reached a record $5.03 billion in 2025, up 11.3%, and a record $3.28 billion in the first half of 2026 (+7.7%), led by energy (27.8%) and tourism (20.1%), with more than $5.3 billion projected for the year. Exports rose 16.6% in H1 2026, tourism welcomed more than 9.2 million visitors in January–September, and Moody's upgrade to Ba2 in August 2025 recognised the country's improving credit profile. International reserves of about $15.2 billion (roughly five months of imports) provide a solid buffer.

The country's main structural challenge is the electricity distribution sector. The three state distribution companies lost 39.1% of the energy they purchased in H1 2026, and government transfers to them reached RD$68.7 billion in the period, weighing on public finances. Generation, however, is being strengthened rapidly: the 414 MW Manzanillo combined-cycle plant, financed through a $440 million syndicated facility and linked to the north by a new 345 kV line, came on stream in March 2026, energy is now the largest destination for FDI, and the share of circuits with 24-hour supply rose to 44.4% by July 2026. For investors, the practical response is well established — self-generation, private power-purchase agreements and free zone supply arrangements — while the push to modernise distribution and add renewable and gas-fired capacity offers a substantial pipeline of energy and grid opportunities.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Electricity distribution losses and reliability	Distribution losses averaged 39.1% in H1 2026 and supply is not yet continuous across the whole grid, although 44.4% of circuits now receive 24-hour service	Use self-generation, private power-purchase agreements or free zone supply; grid modernisation creates openings in generation, metering and renewables
Fiscal space and a narrow tax base	Non-financial public sector debt stood at 48.2% of GDP in July 2026 and electricity subsidies absorb significant resources	Strong growth, deep market access (a $1.6 billion bond drew over $5 billion of demand in 2025) and a Moody's upgrade support stability; monitor any tax reform for incentive changes
US tariff changes	Dominican goods not exempted face a 12.5% US tariff from July 2026, replacing a temporary 10% surcharge, though many textiles and food products are excluded	Review product classifications under CAFTA-DR; nearshoring to the Dominican Republic remains competitive against more distant suppliers facing similar or higher tariffs
Imported-energy and inflation pressures	Higher oil prices lifted inflation to 5.12% in September 2026, above the 4% ± 1% target, prompting a preventive 25bp rate rise to 5.50%	Core inflation is within target and the Central Bank acts early; hedge fuel-intensive exposure and factor in moderating local financing costs over time
Relations with Haiti	Border closures since 2023 and security concerns in Haiti have disrupted cross-border trade and created migration pressures	Locate operations away from the border or use established logistics partners; stabilisation in Haiti would reopen a significant export market
Administrative and judicial processes	Investors report slow court proceedings, inconsistent administrative and customs decisions, and incomplete land titling	Conduct thorough title due diligence, use ProDominicana aftercare and include New York Convention arbitration or CAFTA-DR

Issue	Potential Impact	Possible Mitigation
		dispute provisions in contracts
Concentration on the US economy	The US is the main market for exports and tourists and the source of over 80% of formal remittances	Diversify toward European and Latin American source markets; strong US ties also underpin nearshoring and DFC financing opportunities

INVESTOR RISK NOTE

The Dominican Republic's risk profile is that of a stable, fast-growing economy on an improving credit trajectory with a strong record of attracting foreign capital. Record FDI in 2025 and H1 2026, a narrowing current account deficit (1.2% of GDP in 2025), reserves of about $15.2 billion and Moody's upgrade to Ba2 reflect sustained macroeconomic credibility, and the Central Bank's preventive rate rise in September 2026 shows a clear commitment to price stability. The principal structural issues — electricity distribution losses, a narrow tax base and slow administrative and judicial processes — are well understood and are being addressed through new generation capacity, digital investor services and institutional strengthening. External factors, including oil prices, US trade policy and the situation in Haiti, are manageable with standard planning: securing reliable power, reviewing tariff classifications and building robust contracts. Investors who structure carefully can take comfort from the depth of the country's incentive regimes and the consistency of its policy direction across successive governments.

MARKET ACCESS

The Dominican Republic is a party to the Dominican Republic–Central America–United States Free Trade Agreement (CAFTA-DR), giving preferential access to the US and Central American markets, and is a member of CARIFORUM, through which it holds Economic Partnership Agreements with the European Union and the United Kingdom. It has been a WTO member since 1995 and is a party to the New York Convention on arbitral awards. Exports reached a record $15.9 billion in 2025 (+14.4%), with free zone exports of $8.5 billion, led by medical devices, tobacco products and electrical equipment, and gold exports rising sharply. The United States is the principal market for goods, tourists and remittances. Container ports at Haina and Caucedo, a growing LNG and port platform at Manzanillo and extensive air connectivity position the country as a logistics hub for the Caribbean and a natural nearshoring base for North American supply chains.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Luis Abinader)	Sets economic, energy and tourism-development priorities, including flagship projects such as Cabo Rojo–Pedernales	Primary reference point for the government's strategic and investment agenda
ProDominicana (Export and Investment Centre)	National investment and export promotion agency; runs single-window FDI registration and aftercare	Standard first point of contact for market entry and incentive guidance
Banco Central de la República Dominicana (BCRD)	Monetary authority; manages the managed-float peso, reserves and FDI and remittance reporting	Relevant for currency, repatriation and banking-sector matters
National Free Zones Council (CNZFE)	Licenses and oversees the free zone regime of 92 parks and around 850 companies	Essential partner for manufacturing and nearshoring entry
Ministry of Energy and Mines and National Energy Commission (CNE)	Shape energy and mining policy and approve power concessions and renewable incentives	Key counterparts for generation, renewables, LNG and mining projects
Ministry of Tourism and CONFOTOUR	Lead tourism policy and approve tax incentives for new tourism projects	Central to hotel, resort and tourism real-estate investment
Ministry of Industry, Commerce and MSMEs	Oversees trade policy, CAFTA-DR implementation and industrial development	Relevant for trade, tariff and market-access matters

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce of the Dominican Republic (AMCHAMDR) is the leading international business association, alongside the National Council of Private Enterprise (CONEP), the Dominican Association of Free Zones (ADOZONA) and the Dominican Exporters' Association (ADOEXPO), which are active in dialogue with government on trade and tariff issues. ProDominicana organises investor outreach and sector promotion, and the Central Bank maintains regular dialogue with the foreign-investor business association. Development finance is well established: the US International Development Finance Corporation opened a regional office in Santo Domingo in 2024 and has provided $245 million to Banco Popular and Banreservas for small-business lending, while the Inter-American Development Bank and World Bank Group support energy, infrastructure and private-sector programmes.

INVESTOR PROFILE BEST SUITED

The Dominican Republic suits a wide range of investors seeking exposure to a stable, high-growth Caribbean economy with privileged access to the US market: manufacturers and nearshoring investors, particularly in medical devices and electronics, using the free zone regime; hotel groups, developers and tourism-real-estate investors building on record visitor numbers and new destinations such as Cabo Rojo–Pedernales; energy investors in renewables, gas-fired generation and grid modernisation; and logistics investors serving Caribbean and Central American supply chains. Mining investors will also find established international partners, building on the strong growth of gold exports.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage ProDominicana and register the investment
Open dialogue with the national investment agency, use its single-window FDI registration and secure the registration certificate needed for profit and capital repatriation.

STEP 2: Select the right incentive regime
Compare the free zone, tourism, renewable energy, border-development and PPP frameworks to identify the most advantageous structure for the project.

STEP 3: Secure reliable power from the outset
Build self-generation, a private power-purchase agreement or free zone supply into project design and costs.

STEP 4: Review US tariff exposure under CAFTA-DR
Check product classifications against the July 2026 US tariff schedule and its exemptions to optimise export positioning.

STEP 5: Conduct rigorous legal and land due diligence
Verify land titles, use experienced local counsel and include international arbitration provisions in key contracts.